STIFEL

NVIDIA Corporation

NVDA – NASDAQ

August 28, 2024

Americas - Applied Technologies

F2Q Review: Modernization of Data Center Compute Stack Continues

BUY

ANALYSIS OF SALES/EARNINGS

Financial Summary

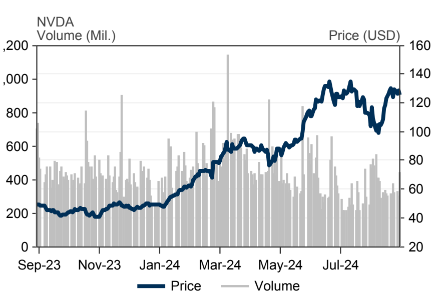
Changes	Previous	Current
Rating	—	Buy
Target Price	—	$165.00
FY26E EPS (net)	$3.52	$3.60
FY27E EPS (net)	$4.10	$4.21
FY26E Revenue	$158.00B	$164.91B
FY27E Revenue	$185.00B	$192.00B

Price (08/28/24):	$125.61
52-Week Range:	$141 - $39
Market Cap.(mm):	$316,035
Shr.O/S-Diluted (mm):	2,516.0
Avg Daily Vol (3 Mo):	359,857,856
Dividend / Yield:	$0.16 / 0.1%
FYE	Jan

EPS (net)	2025E	2026E	2027E
Q1	$0.61A	$0.79	$1.02
Q2	$0.68A	$0.86	$1.04
Q3	$0.73	$0.94	$1.06
Q4	$0.75	$1.01	$1.08
	$2.77	$3.60	$4.21
P/E	45.3x	34.9x	29.8x

Revenue	2025E	2026E	2027E
Q1	$26.04BA	$36.76B	$46.27B
Q2	$30.04BA	$39.51B	$47.48B
Q3	$32.50B	$42.75B	$48.71B
Q4	$34.92B	$45.90B	$49.53B
	$123.50B	$164.91B	$192.00B

Price Performance



Summary

NVDA F2Q results and F3Q guidance beat expectations, driven by continued strength in data center compute platforms and networking for accelerated compute and AI clusters. Management noted sustained Hopper architecture strength with expectations for shipments to increase in 2HF2025. Addressing recent concerns regarding Blackwell architecture delays, NVDA said that the company executed a change to the Blackwell GPU mask to improve production yield and shipped customer samples in F2Q. The change to the mask is complete with management emphasizing that no functional changes were necessary. Blackwell production ramp is scheduled to begin in F4Q, with expectations for several billion dollars in revenue in that quarter followed by volume increases to continue into F2026. In the near-term, higher operating expenses and modestly lower gross margin (new product mix) will moderate EPS growth. Bigger picture, the modernization of data center compute continues and, in our view, NVDA remains the primary beneficiary.

Key Points

Data Center momentum continues. NVDA reported F2Q revenue of $30.0bn (+122% y/y and +15% q/q), which was above management guidance and came in above the consensus estimate of $28.7bn. Data Center revenue of $26.4bn ($22.6bn Compute, $3.7bn Networking), increased 154% y/y and 16% q/q. CSPs represented ~45% of Data Center segment revenue while consumer internet and enterprise companies represented more than 50%. Management noted that customers continued to accelerate Hopper architecture purchases ahead of Blackwell adoption, which is expected to be strong. Non-GAAP gross margin of 75.7% increased against the year-ago quarter primarily on strong Data Center revenue growth. Non-GAAP EPS of $0.68 was above our estimate of $0.62 and the consensus estimate of $0.65.

F3Q outlook and estimate changes. NVDA's October quarter revenue outlook of $32.5bn is above our estimate of $30.7bn and the $31.7bn consensus estimate, albeit inline to slightly below investor expectations ahead of the print. Non-GAAP gross margin was guided to 75%, modestly below our previous estimate of 75.5%. NVDA expects full-year gross margin to be in the mid-70% range, which suggests another modest downtick in 4Q. We believe that near-term margin pressure is likely a result of Blackwell ramps and should moderate in F2026. Non-GAAP operating expenses are forecast at $3.0bn. For the full year, NVDA now expects opex growth in the mid-to-upper 40% range, above previous expectations for growth in the low 40% range. Our new F3Q EPS estimate of $0.73 is above our prior estimate of $0.69 and the prior consensus estimate of $0.71.

Key takeaways from results, outlook and management commentary. We believe that NVDA addressed recent investor focus areas which we called out in our preview last week. Namely, the company executed a change to the Blackwell GPU mask, which was cited as complete and with no functional changes necessary. We also believe that the production schedule appears to be on track with earlier company guidance as NVDA noted expectations for several billions of dollars in Blackwell revenue in F4Q. In the meantime, Hopper architecture demand remains strong into fiscal year-end given expectations for shipments to increase in the second half of F2025. The second focus area, which is likely to remain an area of debate, is the balance between infrastructure spending and AI ROI. NVDA continues to cite the transition from general purpose computing to accelerated computing, not just for AI workloads but for a broader set of applications as CPU scaling slows. With this in mind, management continues to point to visibility into sustained longer-term demand, i.e. Blackwell demand far exceeding supply expectations in the medium-term.

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All relevant disclosures and certifications appear on pages 8 - 10 of this report.

Investment Thesis

We believe that NVDA is well positioned in markets that combine to yield an overall TAM of more than $100 billion exiting 2025 and a longer-term opportunity funnel that could approach $1 trillion. We expect the majority of near-to-medium term opportunities will come from high-performance computing, hyperscale and cloud data center, and enterprise and edge computing. While we continue to view NVDA's exposure to Gaming, Automotive and Professional Visualization favorably, the shift from general purpose compute to accelerated compute represents the company's most significant revenue and profitability growth opportunity over the next several years, in our view.

Yet another beat/raise on continued AI infrastructure spends: NVDA reported F2Q revenue of $30.0bn (+122% y/y and +15% q/q), which was above the midpoint of management guidance and beat consensus expectations by 4.5%. Non-GAAP gross margin of 75.7% increased materially versus the year-ago quarter and was slightly above management guidance for 75.5% driven primarily by continued Data Center segment strength. On a sequential basis, gross margin fell due to product mix shifting towards Data Center products, as well as Blackwell-driven inventory provisions. Non-GAAP EPS of $0.68 was above our estimate of $0.62 and the consensus estimate of $0.65. Looking ahead to F3Q 2025, NVDA once again expects a substantial increase in revenue with guidance of $32.5bn (+/- 2%), which implies y/y growth of 79% and q/q growth of 8% and exceeds the current consensus estimate of $31.7bn by 2.5%. Despite improving H200 supply, demand for Blackwell remains well above supply. NVDA believes that this supply/demand imbalance could continue well into 2025.

Exhibit 1: Reported Results Versus Guidance and Estimates ($Mn, except per share values)

($ in millions, except per share data)	F2Q25				F2Q24
	Actual	Guidance	SN Est.	Consensus	Actual
Revenue	$30,040	$28,000.0	$28,000	$28,737	$13,507
% change y/y	*122.4%*	*107.3%*	*107.3%*	*112.8%*	*101.5%*
Non-GAAP Gross Margins	75.7%	75.5%	75.5%		71.2%
Operating Expenses	$2,792	$2,800.0	$2,800		1,838
Non-GAAP EPS	$0.68		$0.62	$0.65	$0.27
% change y/y	*153.0%*		*130.5%*	*141.0%*	*425.2%*

Source: Company reports, FactSet Research Systems, Stifel estimates

Exhibit 2: Revenue Breakdown Versus Estimates ($Mn, except per share values)

	F2Q25				F2Q24	
	Actual ($M)	SN Est. ($M)	Variance ($M)	Variance (%)	Actual	Y/Y% Change
Gaming	$2,880.0	$2,673.5	$206.5	7.7%	$2,490.0	15.7%
Datacenter	$26,272.0	$24,475.7	$1,796.3	7.3%	$10,320.0	154.6%
Professional Visualization	$454.0	$439.8	$14.2	3.2%	$379.0	19.8%
Automotive	$346.0	$332.3	$13.7	4.1%	$253.0	36.8%
OEM & Other	$88.0	$78.8	$9.2	11.7%	$65.0	35.4%
Total Revenue	**$30,040.0**	**$28,000.0**	**$2,040.0**	**7.3%**	**$13,507.0**	**122.4%**
Non-GAAP Gross Profit	$22,729.0	$21,140.0	$1,589.0	7.5%	$9,614.0	136.4%
Non-GAAP Gross Margin (%)	75.7%	75.5%		20bps	71.2%	450bps
Research & development	$2,241.0	$2,218.7	$22.3	1.0%	$1,428.0	56.9%
Sales, general & administrative	$551.0	$581.4	($30.4)	-5.2%	$410.0	34.4%
Operating Income (pro forma)	$19,937	$18,340	$1,597.1	8.7%	$7,776.0	156.4%
Non-GAAP Op Margin (%)	66.4%	65.5%		90bps	57.6%	880bps
Net Income (pro forma)	$16,952.0	$15,472.8	$1,479.2	9.6%	$6,740.0	151.5%
EPS (pro forma)	**$0.68**	**$0.62**	**$0.06**	**9.7%**	**$0.27**	**153.0%**

Source: Company reports, FactSet Research Systems, Stifel estimates

Core End Market Segment Takeaways:

Gaming segment sales of $2,880mn (9.6% of sales) increased 16% y/y and 9% sequentially. NVDA once again noted that channel inventory remains healthy across its overall Gaming product range, and highlighted strong segment demand in the quarter. NVDA again mentioned AI PCs, noting the AI-enabled capabilities of the RTX product line; per management, an RTX PC *is* an AI PC. In light of such commentary, it seems as if NVDA is factoring LT edge AI opportunities into future projections and product releases; we remain attentive to the emergence of such trends. Also of note is an expanding GeForce library and expansive gaming ecosystem, both expected to continue driving incremental growth moving forward.

Datacenter segment sales of $26,272mn (87.5% of sales) increased 154% y/y and 16% sequentially, as global demand for Hopper GPU-based computing platforms continues to drive strong sales. Within Data Center, compute increased 2.5x y/y while Networking revenue was up 2x against the year-ago quarter. CSPs represented roughly 45% of overall Data Center revenue. Inference workloads remain a large part of the company's Data Center mix, with management estimating that inference drove roughly 40% of Data Center revenue in the trailing four quarters. NVDA's AI Factory initiative remains a bright spot, and is expected to help drive an accelerated product cadence. Sovereign AI continues to emerge as a significant growth area for the Data Center business, although management lowered F2024 revenue forecasts for this sub-segment to a low-single-digit billion dollar mark, compared to previous expectations of a high-single-digit billion figure. Commenting on China, NVDA noted that the region remains a significant revenue contributor for the company, as new products designed to comply with U.S. export restrictions continue to ramp. However, China-based revenue remains down significantly from the level prior to recent export control restrictions put into place last October. We continue to believe that NVDA's outlook does not include expectations for material recovery in China-based Data Center revenue.

Management noted continued demand for Hopper based platforms, as well as a recovery of H200 supply constraints visible in F1Q. Additionally, NVDA's cutting-edge Blackwell architecture, currently in sampling under a variety of figurations, is now expected to reach shipping production in F4Q. NVDA again noted that demand for Blackwell remains well-ahead of supply; management expects demand to likely exceed supply well into 2025.

Networking revenue returned to sequential growth, growing 16% q/q. Management highlighted SpectrumX networking platforms, citing a plan to release updated product lines annually, supporting growing compute clusters. NVDA sees these products as a multi-billion dollar revenue stream, and anticipates this pipeline developing as such within a year.

Professional Visualization segment sales of $454mn (1.5% of sales) increased 20% y/y and 6% sequentially. As previously noted, NVDA expects generative AI and Omniverse industrial digitization to drive longer-term Professional Visualization segment growth. Indeed, the July quarter saw NVDA introduce additional generative AI models and NIM microservices for OpenUSD, expanding adoption to applications in robotics, industrial design, and engineering.

Automotive segment sales of $346mn (1.2% of sales) increased 37% y/y and 5% q/q. The increase in revenue from the year-ago quarter was driven by ramping customer self-driving platforms, with next-gen AV models expected to drive additional compute requirements.

OEM and Other revenue of $88mn (<1% of sales) increased 35% y/y and 13% sequentially.

Balance Sheet and Cash Flow. NVDA exited F2Q with cash and equivalents of $34.8bn, up from $31.4bn exiting F1Q and up from $16.0bn exiting the year-ago quarter. The increases were — again — primarily the result of higher revenue, partially offset by stock repurchases. Inventory of $6.7bn was up from $5.9bn in the prior quarter with days sales of inventory of 81. Purchase commitments and obligations of inventory were $27.8bn, up from $18.8bn in the prior quarter. Prepaid supply agreements were $4.7bn. Other non-inventory purchase obligations were $12.0bn, including $9.8bn of multi-year cloud service agreements.

Cash flow from operations was $14.5bn, up from $6.3bn in the year-ago quarter and down from $15.3bn last quarter. In 2Q, NVDA returned $7.4bn to shareholders in both share repurchases and cash dividends, with $7.5bn remaining under the existing share repurchase authorization. An additional $50bn repurchase authorization was signed earlier this week. Also of note, NVDA will pay a $0.01 quarterly dividend per share on October 3rd, to all shareholders of record on September 12th.

F3Q outlook and estimate changes. NVDA's October quarter revenue outlook of $32.5bn is above our estimate of $30.7bn and the $31.7bn consensus estimate. Management expects continued Hopper demand to primarily drive quarterly growth. Non-GAAP gross margin was guided to 75.0% (+/- 50bps), consistent with management expectations for a return of gross margins to the mid-70% range, although commentary indicates a potentially muted F4Q in this regard. Non-GAAP operating expenses are forecast at $3.0bn. Our new non-GAAP EPS estimate of $0.73 is above our prior estimate of $0.69 and the consensus estimate of $0.71.

Exhibit 3: F3Q Guidance Versus Estimates ($Mn, except per share values)

($ in millions, except per share data)	F3Q25E				F3Q24
	Guidance	New SN Est.	Prior SN Est.	Consensus	Actual
Revenue	$32,500.0	$32,500	$30,711	$31,714	$18,120
% change y/y	*79.4%*	*79.4%*	*69.5%*	*75.0%*	*205.5%*
Non-GAAP Gross Margins	75.0%	75.0%	75.5%		75.0%
Operating Expenses	$3,000.0	$2,999.7	$2,884.1		$2,026.0
Non-GAAP EPS		$0.73	$0.69	$0.71	$0.40
% change y/y		*80.7%*	*71.1%*	*76.7%*	*589.6%*

Source: Company reports, FactSet Research Systems, Stifel estimates

Increasing F2025 and F2026 estimates. We are, again, increasing our estimates given management's updated near-term outlook and medium-term commentary. We are raising our F2025 revenue and EPS estimates to $123.5bn and $2.77, up from $117.8bn and $2.67. Our F2026 revenue and EPS estimates are raised to $164.9bn and $3.60, up from $145.8bn and $3.25.

Continue to view NVDA as the best positioned company to benefit from the AI infrastructure build out; Target Price of $165. We continue to expect NVDA to be the primary beneficiary of AI infrastructure deployments over the next several years. We believe that new Data Center revenue streams — including CPU/GPU platforms, software, services, and networking — are likely to drive significant revenue growth within a rapidly expanding TAM. We expect NVDA to maintain gross margins in the mid-70% range and potentially drive incremental margin growth as software and various areas of networking ramp.

Target Price Methodology/Risks

Our target price of $165 is based on 40x our F2027 (C2026) EPS estimate of $4.21. We believe a 40x multiple is appropriate for NVDA, given its longer-term growth prospects, profitability metrics and historical valuation ranges (35x - 65x). Risks to our target price include: 1) a potential digestion period following several quarters of significant investment; 2) unforeseen impacts on increasing trade restrictions on technology shipped to China; and 3) general macro-related events that could impact our future revenue growth assumptions and impede the realization of our target price.

Company Description

Santa Clara, CA-based Nvidia pioneered the three-dimensional (3D) graphics processor unit (GPU) technology and associated software. Today, the company's products are used predominantly to accelerate challenging computational problems. Originally focused on Gaming applications and PC graphic technologies, NVDA has expanded to other computationally intense applications, including scientific computing, artificial intelligence, data science, autonomous vehicles and augmented and virtual reality. Nvidia's technologies address four large end markets: Gaming, Data Center, Professional Visualization and Automotive.

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($ in millions except per share data)	2025E				FY	2026E				FY	2027E				FY
Nvidia (NVDA)	Q1	Q2	Q3E	Q4E	Jan-25E	Q1E	Q2E	Q3E	Q4E	Jan-26E	Q1E	Q2E	Q3E	Q4E	Jan-27E
Income Statement	Apr-24	Jul-24	Sep-24	Jan-25		Apr-25	Jul-25	Sep-25	Jan-26		Apr-26	Jul-26	Sep-26	Jan-27	
TOTAL REVENUES	**$26,044**	**$30,040**	**$32,500**	**$34,916**	**$123,500**	**$36,756**	**$39,513**	**$42,746**	**$45,898**	**$164,912**	**$46,274**	**$47,484**	**$48,714**	**$49,528**	**$192,000**
Cost of Goods	5,638	7,466	8,320	10,475	31,899	11,027	11,854	12,824	13,769	49,474	13,882	14,245	14,614	14,858	57,600
GAAP Gross Profit	**$20,406**	**$22,574**	**$24,180**	**$24,441**	**$91,601**	**$25,729**	**$27,659**	**$29,922**	**$32,128**	**$115,438**	**$32,392**	**$33,238**	**$34,100**	**$34,669**	**$134,400**
Recurring COGS	5,484	7,311	8,125	9,672	30,592	9,777	10,273	10,900	11,704	42,654	11,569	11,871	12,179	12,382	48,000
PF Gross Profit	**$20,560**	**$22,729**	**$24,375**	**$25,244**	**$92,908**	**$26,979**	**$29,240**	**$31,845**	**$34,194**	**$122,258**	**$34,706**	**$35,613**	**$36,536**	**$37,146**	**$144,000**
R&D	1,981.0	2,241.0	2,409.1	2,577.7	9,208.8	2,938.6	3,173.7	3,364.1	3,481.8	12,958.2	3,690.8	3,949.1	4,146.6	4,271.0	16,057.4
Marketing & Sales	520.0	551.0	590.7	630.8	2,292.5	706.5	777.2	800.5	822.9	3,107.2	855.8	898.6	916.6	934.9	3,606.0
Total Operating Expenses (pro forma	2,501	2,792	3,000	3,209	11,501	3,645	3,951	4,165	4,305	16,065	4,547	4,848	5,063	5,206	19,663
Total Operating Expenses (GAAP)	3,497	3,932	4,325	4,758	16,512	5,043	5,346	5,667	6,007	22,062	6,367	6,749	7,154	7,583	27,853
Operating Profit (Non-GAAP)	**18,059**	**19,937**	**21,375**	**22,036**	**80,100**	**23,333**	**25,289**	**27,681**	**29,889**	**99,373**	**30,159**	**30,765**	**31,472**	**31,940**	**114,737**
Operating Profit (GAAP)	**16,909**	**18,642**	**19,855**	**19,683**	**75,089**	**20,686**	**22,313**	**24,255**	**26,122**	**93,376**	**26,025**	**26,490**	**26,946**	**27,086**	**106,547**
Interest Expense	295.0	383.0	353.0	353.0	1,384.0	353.0	353.0	353.0	353.0	1,412.0	353.0	353.0	353.0	353.0	1,412.0
Other Income	7.0	(3.0)	(3.0)	(3.0)	(2.0)	(3.0)	(3.0)	(3.0)	(3.0)	(12.0)	(3.0)	(3.0)	(3.0)	(3.0)	(12.0)
Total Other Inc/(Expense)	302.0	380.0	350.0	350.0	1,382.0	350.0	350.0	350.0	350.0	1,400.0	350.0	350.0	350.0	350.0	1,400.0
Profit Before Taxes	**$18,361**	**$20,317**	**$21,725**	**$22,386**	**$82,789**	**$23,683**	**$25,639**	**$28,031**	**$30,239**	**$107,592**	**$30,509**	**$31,115**	**$31,822**	**$32,290**	**$125,737**
Taxes	3,123.0	3,365.0	3,693.3	3,805.6	13,986.9	4,026.2	4,358.6	4,765.2	5,140.6	18,290.7	5,186.6	5,289.5	5,409.8	5,489.3	21,375.2
Non-GAAP Net Income	**15,238.0**	**16,952**	**18,032**	**18,580**	**68,802**	**19,657**	**21,280**	**23,266**	**25,098**	**89,302**	**25,323**	**25,825**	**26,413**	**26,801**	**104,361**
Total adjustments	357.0	353.0	652.0	652.0	2,014.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
GAAP Net Income	**14,881**	**16,599**	**16,512**	**16,228**	**64,219**	**17,010**	**18,305**	**19,840**	**21,331**	**76,486**	**21,189**	**21,550**	**21,886**	**21,947**	**86,572**
Diluted Pro Forma EPS	**$0.61**	**$0.68**	**$0.73**	**$0.75**	**$2.77**	**$0.79**	**$0.86**	**$0.94**	**$1.01**	**$3.60**	**$1.02**	**$1.04**	**$1.06**	**$1.08**	**$4.21**
Diluted GAAP EPS	$0.60	$0.67	$0.66	$0.65	$2.58	$0.68	$0.74	$0.80	$0.86	$3.08	$0.85	$0.87	$0.88	$0.89	$3.49
GAAP Diluted Shares out (mil)	24,890.0	24,848.0	24,843.0	24,838.0	24,838.0	24,833.0	24,828.0	24,823.0	24,818.0	24,818.0	24,813.0	24,808.0	24,803.0	24,798.0	24,798.0
Non-GAAP Diluted shares out (mil)	24,890.0	24,848.0	24,843.0	24,838.0	24,838.0	24,833.0	24,828.0	24,823.0	24,818.0	24,818.0	24,813.0	24,808.0	24,803.0	24,798.0	24,798.0
Operating Ratios															
Gross Margin (Non-GAAP)	78.9%	75.7%	75.0%	72.3%	75.2%	73.4%	74.0%	74.5%	74.5%	74.1%	75.0%	75.0%	75.0%	75.0%	75.0%
R&D	7.6%	7.5%	7.4%	7.4%	7.5%	8.0%	8.0%	7.9%	7.6%	7.9%	8.0%	8.3%	8.5%	8.6%	8.4%
SG&A	2.0%	1.8%	1.8%	1.8%	1.9%	1.9%	2.0%	1.9%	1.8%	1.9%	1.8%	1.9%	1.9%	1.9%	1.9%
Operating Margin	64.9%	62.1%	61.1%	56.4%	60.8%	56.3%	56.5%	56.7%	56.9%	56.6%	56.2%	55.8%	55.3%	54.7%	55.5%
Operating Margin (Non-GAAP)	69.3%	66.4%	65.8%	63.1%	64.9%	63.5%	64.0%	64.8%	65.1%	60.3%	65.2%	64.8%	64.6%	64.5%	59.8%
Pretax Margin	70.5%	67.6%	66.8%	64.1%	67.0%	64.4%	64.9%	65.6%	65.9%	65.2%	65.9%	65.5%	65.3%	65.2%	65.5%
Effective Tax Rate	17.0%	16.6%	17.0%	17.0%	16.9%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%
Net Margin	58.5%	56.4%	55.5%	53.2%	55.7%	53.5%	53.9%	54.4%	54.7%	54.2%	54.7%	54.4%	54.2%	54.1%	54.4%
Net Margin (Non-GAAP)	57.1%	55.3%	50.8%	46.5%	52.0%	46.3%	46.3%	46.4%	46.5%	46.4%	45.8%	45.4%	44.9%	44.3%	45.1%
Y/Y %Change															
Revenue	262.1%	122.4%	79.4%	58.0%	102.7%	41.1%	31.5%	31.5%	31.5%	33.5%	25.9%	20.2%	14.0%	7.9%	16.4%
R&D	47.9%	56.9%	52.4%	47.6%	51.1%	48.3%	41.6%	39.6%	35.1%	40.7%	25.6%	24.4%	23.3%	22.7%	23.9%
SG&A	26.5%	34.4%	32.7%	36.3%	32.6%	35.9%	41.1%	35.5%	30.4%	35.5%	21.1%	15.6%	14.5%	13.6%	16.1%
Operating Profit (Non-GAAP)	690.1%	174.1%	90.6%	44.6%	127.7%	22.3%	19.7%	22.2%	32.7%	24.4%	25.8%	18.7%	11.1%	3.7%	14.1%
Pretax Income	485.5%	157.3%	85.2%	49.4%	119.3%	29.0%	26.2%	29.0%	35.1%	30.0%	28.8%	21.4%	13.5%	6.8%	16.9%
Net Income (Non-GAAP)	628.4%	168.2%	78.6%	32.1%	115.8%	14.3%	10.3%	20.2%	31.4%	19.1%	24.6%	17.7%	10.3%	2.9%	13.2%
EPS (GAAP)	628.7%	169.8%	79.3%	32.4%	116.5%	14.6%	10.4%	20.3%	31.6%	19.2%	24.7%	17.8%	10.4%	3.0%	13.3%
EPS (Non-GAAP)	461.9%	153.0%	80.7%	45.1%	113.6%	29.3%	25.6%	29.1%	35.2%	29.9%	28.9%	21.5%	13.6%	6.9%	17.0%
Q/Q %Change															
Revenue	17.8%	15.3%	8.2%	7.4%		5.3%	7.5%	8.2%	7.4%		0.8%	2.6%	2.6%	1.7%	
R&D	13.4%	13.1%	7.5%	7.0%		14.0%	8.0%	6.0%	3.5%		6.0%	7.0%	5.0%	3.0%	
SG&A	12.3%	6.0%	7.2%	6.8%		12.0%	10.0%	3.0%	2.8%		4.0%	5.0%	2.0%	2.0%	
Operating Profit (Non-GAAP)	24.2%	10.2%	6.5%	-0.9%		5.1%	7.9%	8.7%	7.7%		-0.4%	1.8%	1.7%	0.5%	
Pretax Income	22.6%	10.7%	6.9%	3.0%		5.8%	8.3%	9.3%	7.9%		0.9%	2.0%	2.3%	1.5%	
Net Income (Non-GAAP)	21.1%	11.5%	-0.5%	-1.7%		4.8%	7.6%	8.4%	7.5%		-0.7%	1.7%	1.6%	0.3%	
EPS (GAAP)	21.2%	11.7%	-0.5%	-1.7%		4.8%	7.6%	8.4%	7.5%		-0.6%	1.7%	1.6%	0.3%	
EPS (Non-GAAP)	18.7%	11.4%	6.4%	3.1%		5.8%	8.3%	9.4%	7.9%		0.9%	2.0%	2.3%	1.5%	

Source: Company reports and Stifel estimates

($ in millions except per share data)	2025E				FY	2026E				FY	2027E				FY
Nvidia (NVDA)	Q1	Q2	Q3E	Q4E	Jan-25E	Q1E	Q2E	Q3E	Q4E	Jan-26E	Q1E	Q2E	Q3E	Q4E	Jan-27E
Income Statement	Apr-24	Jul-24	Sep-24	Jan-25		Apr-25	Jul-25	Sep-25	Jan-26		Apr-26	Jul-26	Sep-26	Jan-27	
TOTAL REVENUES	**$26,044**	**$30,040**	**$32,500**	**$34,916**	**$123,500**	**$36,756**	**$39,513**	**$42,746**	**$45,898**	**$164,912**	**$46,274**	**$47,484**	**$48,714**	**$49,528**	**$192,000**
Cost of Goods	5,638	7,466	8,320	10,475	31,899	11,027	11,854	12,824	13,769	49,474	13,882	14,245	14,614	14,858	57,600
GAAP Gross Profit	**$20,406**	**$22,574**	**$24,180**	**$24,441**	**$91,601**	**$25,729**	**$27,659**	**$29,922**	**$32,128**	**$115,438**	**$32,392**	**$33,238**	**$34,100**	**$34,669**	**$134,400**
Recurring COGS	5,484	7,311	8,125	9,672	30,592	9,777	10,273	10,900	11,704	42,654	11,569	11,871	12,179	12,382	48,000
PF Gross Profit	**$20,560**	**$22,729**	**$24,375**	**$25,244**	**$92,908**	**$26,979**	**$29,240**	**$31,845**	**$34,194**	**$122,258**	**$34,706**	**$35,613**	**$36,536**	**$37,146**	**$144,000**
R&D	1,981.0	2,241.0	2,409.1	2,577.7	9,208.8	2,938.6	3,173.7	3,364.1	3,481.8	12,958.2	3,690.8	3,949.1	4,146.6	4,271.0	16,057.4
Marketing & Sales	520.0	551.0	590.7	630.8	2,292.5	706.5	777.2	800.5	822.9	3,107.2	855.8	898.6	916.6	934.9	3,606.0
Total Operating Expenses (pro forma	2,501	2,792	3,000	3,209	11,501	3,645	3,951	4,165	4,305	16,065	4,547	4,848	5,063	5,206	19,663
Total Operating Expenses (GAAP)	3,497	3,932	4,325	4,758	16,512	5,043	5,346	5,667	6,007	22,062	6,367	6,749	7,154	7,583	27,853
Operating Profit (Non-GAAP)	**18,059**	**19,937**	**21,375**	**22,036**	**80,100**	**23,333**	**25,289**	**27,681**	**29,889**	**99,373**	**30,159**	**30,765**	**31,472**	**31,940**	**114,737**
Operating Profit (GAAP)	**16,909**	**18,642**	**19,855**	**19,683**	**75,089**	**20,686**	**22,313**	**24,255**	**26,122**	**93,376**	**26,025**	**26,490**	**26,946**	**27,086**	**106,547**
Interest Expense	295.0	383.0	353.0	353.0	1,384.0	353.0	353.0	353.0	353.0	1,412.0	353.0	353.0	353.0	353.0	1,412.0
Other Income	7.0	(3.0)	(3.0)	(3.0)	(2.0)	(3.0)	(3.0)	(3.0)	(3.0)	(12.0)	(3.0)	(3.0)	(3.0)	(3.0)	(12.0)
Total Other Inc/(Expense)	302.0	380.0	350.0	350.0	1,382.0	350.0	350.0	350.0	350.0	1,400.0	350.0	350.0	350.0	350.0	1,400.0
Profit Before Taxes	**$18,361**	**$20,317**	**$21,725**	**$22,386**	**$82,789**	**$23,683**	**$25,639**	**$28,031**	**$30,239**	**$107,592**	**$30,509**	**$31,115**	**$31,822**	**$32,290**	**$125,737**
Taxes	3,123.0	3,365.0	3,693.3	3,805.6	13,986.9	4,026.2	4,358.6	4,765.2	5,140.6	18,290.7	5,186.6	5,289.5	5,409.8	5,489.3	21,375.2
Non-GAAP Net Income	**15,238.0**	**16,952**	**18,032**	**18,580**	**68,802**	**19,657**	**21,280**	**23,266**	**25,098**	**89,302**	**25,323**	**25,825**	**26,413**	**26,801**	**104,361**
Total adjustments	357.0	353.0	652.0	652.0	2,014.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
GAAP Net Income	**14,881**	**16,599**	**16,512**	**16,228**	**64,219**	**17,010**	**18,305**	**19,840**	**21,331**	**76,486**	**21,189**	**21,550**	**21,886**	**21,947**	**86,572**
Diluted Pro Forma EPS	**$0.61**	**$0.68**	**$0.73**	**$0.75**	**$2.77**	**$0.79**	**$0.86**	**$0.94**	**$1.01**	**$3.60**	**$1.02**	**$1.04**	**$1.06**	**$1.08**	**$4.21**
Diluted GAAP EPS	$0.60	$0.67	$0.66	$0.65	$2.58	$0.68	$0.74	$0.80	$0.86	$3.08	$0.85	$0.87	$0.88	$0.89	$3.49
GAAP Diluted Shares out (mil)	24,890.0	24,848.0	24,843.0	24,838.0	24,838.0	24,833.0	24,828.0	24,823.0	24,818.0	24,818.0	24,813.0	24,808.0	24,803.0	24,798.0	24,798.0
Non-GAAP Diluted shares out (mil)	24,890.0	24,848.0	24,843.0	24,838.0	24,838.0	24,833.0	24,828.0	24,823.0	24,818.0	24,818.0	24,813.0	24,808.0	24,803.0	24,798.0	24,798.0
Operating Ratios															
Gross Margin (Non-GAAP)	78.9%	75.7%	75.0%	72.3%	75.2%	73.4%	74.0%	74.5%	74.5%	74.1%	75.0%	75.0%	75.0%	75.0%	75.0%
R&D	7.6%	7.5%	7.4%	7.4%	7.5%	8.0%	8.0%	7.9%	7.6%	7.9%	8.0%	8.3%	8.5%	8.6%	8.4%
SG&A	2.0%	1.8%	1.8%	1.8%	1.9%	1.9%	2.0%	1.9%	1.8%	1.9%	1.8%	1.9%	1.9%	1.9%	1.9%
Operating Margin	64.9%	62.1%	61.1%	56.4%	60.8%	56.3%	56.5%	56.7%	56.9%	56.6%	56.2%	55.8%	55.3%	54.7%	55.5%
Operating Margin (Non-GAAP)	69.3%	66.4%	65.8%	63.1%	64.9%	63.5%	64.0%	64.8%	65.1%	60.3%	65.2%	64.8%	64.6%	64.5%	59.8%
Pretax Margin	70.5%	67.6%	66.8%	64.1%	67.0%	64.4%	64.9%	65.6%	65.9%	65.2%	65.9%	65.5%	65.3%	65.2%	65.5%
Effective Tax Rate	17.0%	16.6%	17.0%	17.0%	16.9%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%
Net Margin	58.5%	56.4%	55.5%	53.2%	55.7%	53.5%	53.9%	54.4%	54.7%	54.2%	54.7%	54.4%	54.2%	54.1%	54.4%
Net Margin (Non-GAAP)	57.1%	55.3%	50.8%	46.5%	52.0%	46.3%	46.3%	46.4%	46.5%	46.4%	45.8%	45.4%	44.9%	44.3%	45.1%
Y/Y %Change															
Revenue	262.1%	122.4%	79.4%	58.0%	102.7%	41.1%	31.5%	31.5%	31.5%	33.5%	25.9%	20.2%	14.0%	7.9%	16.4%
R&D	47.9%	56.9%	52.4%	47.6%	51.1%	48.3%	41.6%	39.6%	35.1%	40.7%	25.6%	24.4%	23.3%	22.7%	23.9%
SG&A	26.5%	34.4%	32.7%	36.3%	32.6%	35.9%	41.1%	35.5%	30.4%	35.5%	21.1%	15.6%	14.5%	13.6%	16.1%
Operating Profit (Non-GAAP)	690.1%	174.1%	90.6%	44.6%	127.7%	22.3%	19.7%	22.2%	32.7%	24.4%	25.8%	18.7%	11.1%	3.7%	14.1%
Pretax Income	485.5%	157.3%	85.2%	49.4%	119.3%	29.0%	26.2%	29.0%	35.1%	30.0%	28.8%	21.4%	13.5%	6.8%	16.9%
Net Income (Non-GAAP)	628.4%	168.2%	78.6%	32.1%	115.8%	14.3%	10.3%	20.2%	31.4%	19.1%	24.6%	17.7%	10.3%	2.9%	13.2%
EPS (GAAP)	628.7%	169.8%	79.3%	32.4%	116.5%	14.6%	10.4%	20.3%	31.6%	19.2%	24.7%	17.8%	10.4%	3.0%	13.3%
EPS (Non-GAAP)	461.9%	153.0%	80.7%	45.1%	113.6%	29.3%	25.6%	29.1%	35.2%	29.9%	28.9%	21.5%	13.6%	6.9%	17.0%
Q/Q %Change															
Revenue	17.8%	15.3%	8.2%	7.4%		5.3%	7.5%	8.2%	7.4%		0.8%	2.6%	2.6%	1.7%	
R&D	13.4%	13.1%	7.5%	7.0%		14.0%	8.0%	6.0%	3.5%		6.0%	7.0%	5.0%	3.0%	
SG&A	12.3%	6.0%	7.2%	6.8%		12.0%	10.0%	3.0%	2.8%		4.0%	5.0%	2.0%	2.0%	
Operating Profit (Non-GAAP)	24.2%	10.2%	6.5%	-0.9%		5.1%	7.9%	8.7%	7.7%		-0.4%	1.8%	1.7%	0.5%	
Pretax Income	22.6%	10.7%	6.9%	3.0%		5.8%	8.3%	9.3%	7.9%		0.9%	2.0%	2.3%	1.5%	
Net Income (Non-GAAP)	21.1%	11.5%	-0.5%	-1.7%		4.8%	7.6%	8.4%	7.5%		-0.7%	1.7%	1.6%	0.3%	
EPS (GAAP)	21.2%	11.7%	-0.5%	-1.7%		4.8%	7.6%	8.4%	7.5%		-0.6%	1.7%	1.6%	0.3%	
EPS (Non-GAAP)	18.7%	11.4%	6.4%	3.1%		5.8%	8.3%	9.4%	7.9%		0.9%	2.0%	2.3%	1.5%	

Source: Company reports and Stifel estimates

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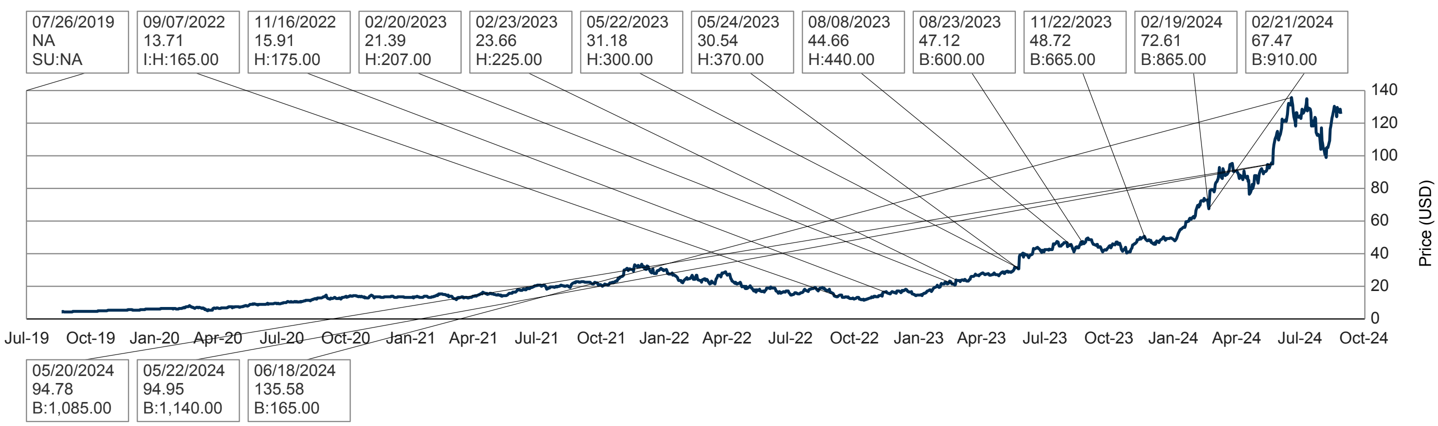

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